THE UNCONSTITUTIONAL MONEY ROUTE

(March 2018 to January 2024)

28,030
NUMBER OF BONDS SOLD

₹16,518
CRORE
VALUE OF BONDS SOLD

27,811
NUMBER OF BONDS REDEEMED

₹16,492
CRORE
VALUE OF BONDS REDEEMED

₹26
CRORE
MONEY TRANSFERRED TO THE PM'S NATIONAL RELIEF FUND*

**If a bond was not encashed, the equivalent amount was transferred to the PM's National Relief Fund; Source: Association for Democratic Reforms*

Why the Modi govt introduced them

- To enhance transparency in political funding, by channelling funds through bank accounts
- To end reliance on cash for anonymous donations, check rampant "under-the-table cash transactions" and eradicate black money in political funding
- The government argued it was necessary to keep the identity of donors anonymous so that they would not face "any retribution from political parties"

Why the Supreme Court struck them down

- Unlimited contribution by companies to political parties was antithetical to the principle of free and fair elections and political equality captured in the value of "one person one vote" as it allowed certain persons/ companies to wield their clout and resources to influence policy-making
- The law to allow a company to donate unlimited amount of money was arbitrary, as it treated contributions by companies and individuals alike, violating the Right to Equality as enshrined in Art. 14 of the Constitution. A company's ability to influence the election process was much higher compared to an individual's
- Anonymous electoral bonds violate the voters' Right to Information under Article 19(1) a) of the Constitution, as it would deny them information about the donee political party. Such information is necessary to identify corruption and quid pro quo transactions in governance. The SC has now asked ECI to make donor details public by March 13

WHAT AFTER ELECTORAL BONDS?

As these have been declared unconstitutional, these are the avenues that will continue to be used for political funding

- Political parties can receive **donations from individuals, registered organisations, corporate groups and electoral trusts**. Electoral trusts are formed by corporate groups with the sole objective to distribute the contributions received by them among the political parties
- Parties can collect funds via **membership fees and sale of party literature and merchandise**
- **Cash and anonymous donations** up to Rs 2,000 can be made. Political parties will have to annually disclose all cash donations above Rs 2,000 and donations through banks and digital payment methods
- Corporates will have to follow the limit set on the amount they can donate–**7.5 per cent of their average net profits** in the past three years
- **Indian subsidiary of a foreign company** can donate funds to parties
- Individuals or corporate houses can **continue to claim tax deduction** for any donation or contribution; political parties enjoy 100 per cent tax waiver on income from all sources
- Currently, a candidate can spend **a maximum of Rs 95 lakh in Lok Sabha constituencies** in bigger states and Rs 75 lakh in smaller states; and Rs 40 lakh and Rs 28 lakh, respectively, for assembly seats